ery of the best-laid plans. No such accident will affect all securities equally, however, and diversification affords the best possible protection against the effects of accidental factors. Errors of judgment are likewise inescapable. Even the most astute speculator is likely to arrive at wrong conclusions from the data in hand 20% to 25% of the time. If he stakes his entire fund on one security about which his conclusion is wrong, he will suffer heavy loss. On the other hand, a 25% margin of error in judgment will not seriously affect the speculator who has scattered his commitments among ten different securities.

Avoid "inside information" as you would the plague.

The most important factor affecting the value of any single security at any given moment is the unknown factor. Not even the president of a company knows all the facts affecting the intrinsic value of its securities. The speculator must allow a considerable margin for the unknown, even in the case of companies which make frequent reports of their condition and make an honest attempt to keep their stockholders and the public fully informed regarding their affairs. By sufficient diversification these unknown factors affecting individual securities cancel each other. The loss which is due to the unknown factor in one case will be counterbalanced by an unexpectedly large profit in another.

A Psychological Difficulty

It is conventional advice to the investor that he should go over his holdings in search of weak spots at least annually. The speculator will naturally watch his holdings much more